

DERIVATIVES

We are including derivatives here, just to remind that derivatives are 'weapons of mass destruction'. This means they can earn sky-high returns overnight and lose the same amount overnight. With derivatives, we are exposing our portfolio to bankruptcy risks which is never a good idea. It requires complex systems and structures. We will stay as far away from these as possible. We will leave these for professional traders.

SMALL SAVING SCHEMES

The main objective of most of the small saving schemes is financial inclusion i.e. making financial services and products available and accessible to those who do not have it. However, for most readers of the platform, this will not be the case and can avoid those schemes that were introduced to ensure financial inclusion.

We have already invested in NSC and PPF to take advantage of the tax benefits. Small saving schemes can be used to substitute debt component if there is extra room under the Section 80C deduction.

Besides financial inclusion and tax savings, certain other small savings schemes serve specific purposes. For instance, Sukanya Samriddhi Scheme is for the welfare of girl child and Senior Citizen Savings Scheme is for the benefit of senior citizens exclusively. So, one can substitute the debt element from their plan using these small saving schemes if the numbers are attractive for them. These are generally suitable for old and retired due to the benefits they offer. Revisit the list in the assets category and re-evaluate the suitability of various schemes that are suitable as per our needs and those that fit in our Lazy Plan.

